

The fund’s liabilities increased when inflation was high and, to minimize the variation in the difference between assets and liabilities (which is *surplus*, see chapter 1), the trustees wanted some assets that have high returns when inflation is high. In fact, the trustees’ top concern was finding assets whose returns correlated highly with inflation. If real estate turned out not to provide adequate inflation protection, then what other real assets should Carole consider?

In this chapter, we cover the properties of assets traditionally thought to hold their value during times of high inflation, especially the “real” assets of real bonds, commodities, and real estate. I distinguish between inflation hedging—the correlation of returns and inflation—and the long-run returns of assets. An asset having a long-run return much higher than inflation can be a very poor inflation hedge; inflation hedging is a statement about a co-movement, while the latter is a statement about a long-term mean. As we shall see, most real assets turn out not to be so “real.”

2. Inflation

2.1. RISING AND FALLING INFLATION

Figure 11.1 plots inflation measured by year-on-year changes in the Consumer Price Index (CPI; for all urban consumers, all items) from January 1952 to December 2012. The U.S. inflation experience since the second half of the twentieth century is marked by an increase in inflation through the 1960s and 1970s, which the economic historian Allan Meltzer (2005) calls the *Great Inflation*, and then a low inflation experience after the mid-1980s. Inflation reached a peak of over 14% in 1980. Meltzer calls the Great Inflation “the climactic monetary

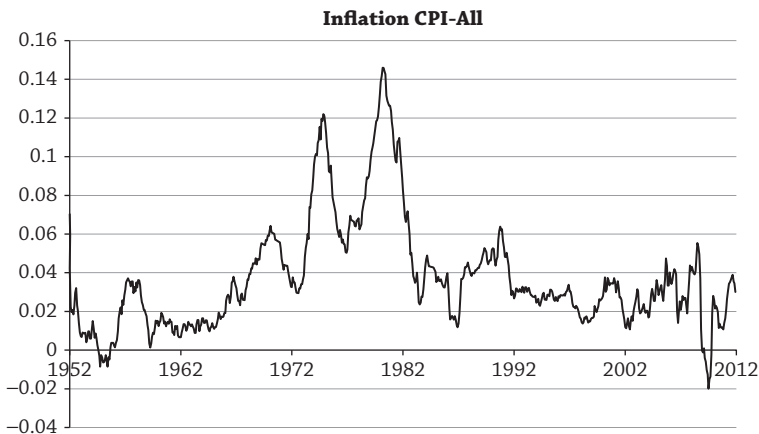


Figure 11.1